cost of running of vehicle deployment on operation," which could also contain duplicate charges. The detail provided within these categories was insufficient to determine the difference between these costs, and therefore they could contain duplicate charges. Despite this lack of detail, we found that Defense paid the Pakistani navy an average of over $19,000 per vehicle per month (more than $3.7 million per year)[20] to operate, maintain, and repair a fleet of fewer than 20 passenger vehicles without sufficient information to determine that these costs were not duplicative.

Opportunities Exist to Improve CSF Oversight Controls

We found deficiencies in the Comptroller's guidance concerning historical comparison of claimed costs and verification of currency conversions. Specifically, we found that while Comptroller guidance calls for a historical comparison of claimed costs, it does not indicate how this comparison should be performed. In addition, we found that CSF guidance does not require Defense to identify or evaluate the exchange rates used to convert claimed costs from Pakistani rupees into U.S. dollars, and, as a result, potential overbillings may have gone undetected.

Potentially Significant Cost Fluctuations Were Not Investigated

The Comptroller guidance calls for the Comptroller to perform a historical comparison of claimed costs to previous reimbursements made by the United States for similar support. Such an analysis could identify costs that do not reflect actual activity levels. However, we found that the Comptroller's guidance does not describe how the comparison should be performed. In our audit, we found that some of Pakistan's claimed costs experienced potentially significant unexplained fluctuations from month to month. Although the Comptroller noted some of these fluctuations, we found that it did not investigate the reasons behind them. For example, Defense paid the army's largest[21] cost claimed in April 2006, which experienced a 12 percent ($2.8 million) increase from March, without investigating this fluctuation. As a result, Defense may be paying for costs based on activities that did not occur.

Currency Conversions Were Not Verified

CSF guidance does not require Defense to identify or evaluate the exchange rates used for claims presented in U.S. dollars. Foreign currency exchange rates, such as those computed by the International Monetary Fund (IMF), fluctuate.[22] As a result, transactions made in a foreign currency can result in transaction gains or losses. Since January 2004, the Pakistani rupee has declined over 6 percent against the U.S. dollar. Consequently, fewer dollars should have over time purchased more rupees, resulting in a lower cost to the CSF program. Pakistani reimbursement claims are presented in U.S. dollars; however, the Comptroller did not verify the currency conversions calculated by Pakistan. Although the Comptroller was not required to do so, lack of such verification may have resulted in overpayment of Pakistan claims. For example, on one cost category we reviewed, Defense may have overpaid more than $1.25 million over 12 months because it did not consider the currency conversion used to calculate the cost. In performing our review, we used the claimed amounts[23] and exchange

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